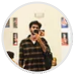
Jargons, hidden expenses and a tight slap on my face!

Week 1 of Learning Personal Finance in Public!



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I don't know if you knew this but I know that I never knew that we live in a worl where I can have a negative net worth (-$1149 to be specific) and still be buying a of $200 Nike Air Max premium edition!!!??

Credit Freaking Cards!!!!

Week 1/20: Newsletter 1

Index:

1. Jargons/Key concepts (Definition)
2. Reflection

Jargons/Key concepts

1. **Income**(**monthly**): Your earnings that get credited to you *after tax* every mon
2. **Expenses**: The money spent between the time period of your two consecutiv incomes.

3. **Budget**: The fool proof plan for balancing your finance to lead a life free of financial surprises and set- backs.
4. **50/30/20 rule**: The most reliable approach of categorizing your personal fina

> From total Income:
>
> 50% - Needs(rent, groceries, car insurance etc.)
>
> 30% - Wants (a weekend trip, netflix subscription, dine-outs)
>
> 20% - Savings (for future goals and unavoidable unfortunate events)

5. **Per-Unit Pricing**: The price of any item broken down to its smallest unit. Fo instance: a $20 pack of 20 coke has a per unit pricing of $1.
6. **Pay yourself first**: A general rule of thumb to remember. Keep aside that 10, 20 percent of your savings immediately once you receive your pay cheque. Delaying it towards the end of the month is a free passport to anxiety and gu
7. **Emergency funds**(EF): Apart from the planned expenses like rent and grocer there are certain unplanned expenses which show up last minute which can small as buying a new keyboard to getting fired from job over night. Hence, the idea of EFs is to have at least 3 to 6 months of living expenses/ ne saved beforehand.

Reflection

3 months ago when I was confused about whether I should be renting a private r that costs around $700 or a shared room at around $450. I asked a friend of mine his suggestion and without even thinking he went, “Go for sharing, save the $25(use that to buy beer. For both of us!”. And he left. I laughed at him and thought “ an ignorant way of leading life…”

Out of everything I learnt in last one week about personal finance, the 50/30/20 ru has taught me a lot about my money management habits. Three days ago when I the first newsletter announcing my willingness to learn personal finance, I had z clue of how am I going to do it and what am I going to write next. Immediately a writing that newsletter, I scrolled through a bunch of courses online, read some personal finance literature and the first thing to do according to all the resources get into a habit of tracking and managing a fixed budget. Upon understanding th 50/30/20 rule I got curious to dig deep into my bank statements and have a look a spending habits.

Before everything else, following the principle of 'pay yourself first', I deposited $ (20% of my total income $1620) into a separate savings account(all banks allow op more than 1 savings account. I have 2, one general and I had opened the other on save for my college fees). I started my calculations towards the big revelation, the 'needs'. This was the first time when I looked at the prices of every small and big that I buy on a regular basis. You Tube subscription, banana, milk, peanut butter protein, transportation money and so on.

Once all that was calculated, I started adding them up. My spending needs amou supposed to be around $810 which is the 50% of my income. I am spending $1288 my needs which is just $10 less than my needs(50%) and wants(30%) combined! It like a tight slap on my face and I said to myself "what an ignorant way of leading life....".

The fist thing I did was messaging my manager asking for more hours of work fr next week.

If you find yourself in a similar situation the usual recommendations are as follo

- Find a way to earn some side income to keep up with your expenses.
- Try minimizing the usage of electricity, water etc. which will lead to decreas utility bills.
- Find a cheaper accommodation if required.
- While buying groceries focus on the **Per Unit Pricing** of the products. For instance if you are buying shampoo and you see two different sizes: 5oz at $1

10oz at $20 then choose the 10oz as its per ounce price is cheaper compared 5oz one.

Most importantly do not panic if this is your first time coming face to face with y 'real' financial condition. Remember that you are in the company of a fellow 'neg net-worth' buddy. We are into the week 1 and we already know where do we stan which means that we have written down the problem clearly. And as Kidlin's law states: "If you can write down the problem clearly, it is half solved."

Thank you for your support!

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